Quarterly Board Update

Q3 2026 · July to September

Marrowgate Freight Group · prepared by the Group Finance Director

Agenda

- Q3 at a glance
- Revenue by region
- Cash and capital expenditure
- Principal risks
- Decisions requested and items for noting

PERFORMANCE

Q3 at a glance

Measure	Q3 2026	Q3 2025	Target
Revenue, €m	48.6	44.1	47.0
EBITDA margin	14.2%	13.1%	14.0%
Free cash flow, €m	−1.8	2.3	1.0
Net debt, €m	12.4	15.9	13.0
On-time delivery	94.8%	93.2%	95.0%
Lost-time injuries	3	5	0

Commentary

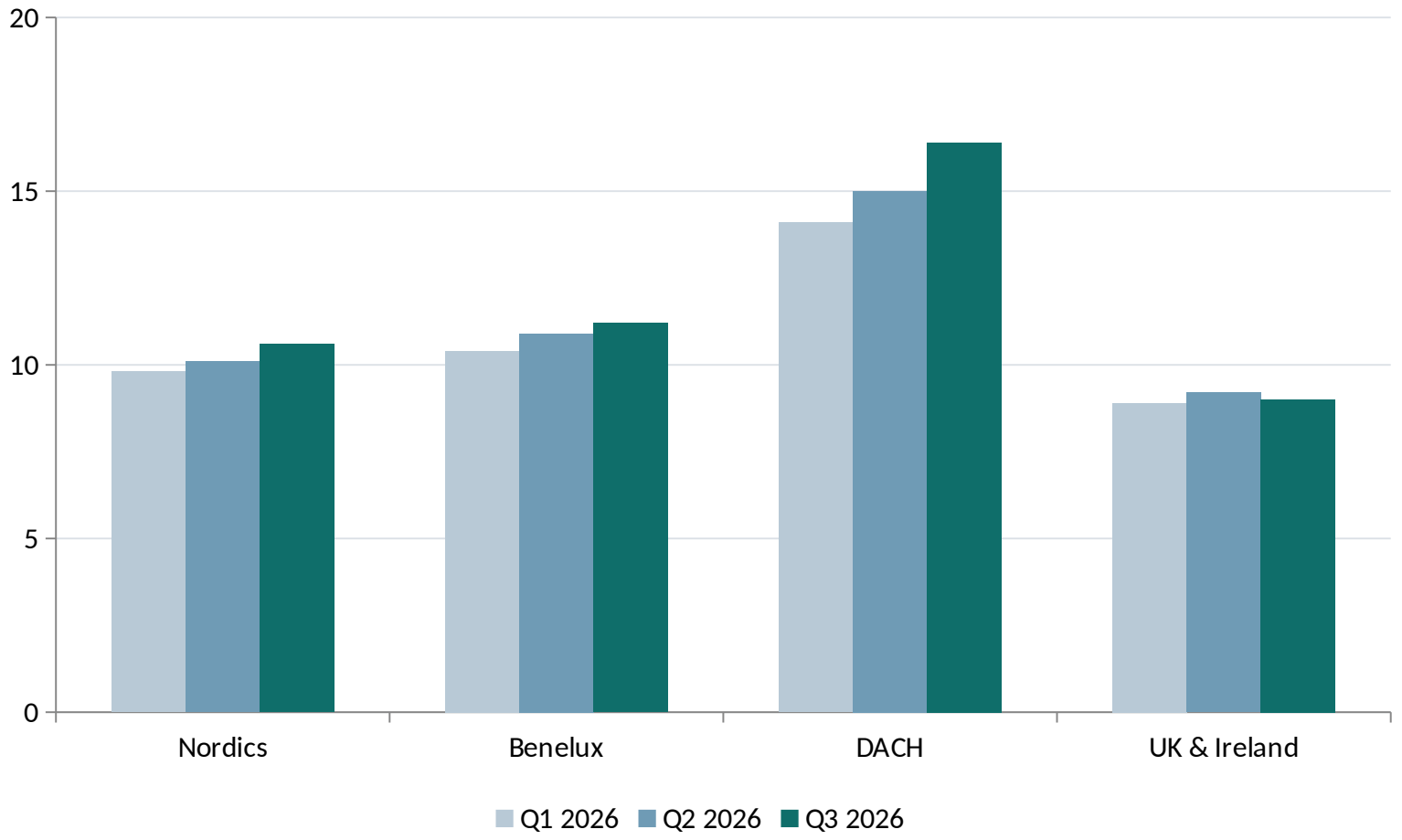
Revenue ahead of target on contract wins in DACH.

Margin held back by fuel and agency driver costs.

Working capital improved after the invoicing backlog was cleared.

PERFORMANCE

Revenue by region



€m, by quarter

DACH remains the largest region after the new retail contract.

UK & Ireland flat; pricing review under way.

Cash and capital expenditure

Project	Approved, €m	Spent to date, €m	Forecast, €m
North hub cross-dock expansion	6.8	0.9	6.8
Fleet electrification, phase 1	4.2	2.6	4.4
Warehouse management system	2.9	2.1	3.1
Yard safety improvements	0.7	0.5	0.7
Total	14.6	6.1	15.0

Headroom on the revolving credit facility at 30 September: €21.5m. Covenant leverage 1.6x against a limit of 3.0x.

Principal risks

- Fuel price volatility: 60% of expected 2027 volume hedged
- Driver shortage in DACH: recruitment campaign launched in September
- Customer concentration: top three customers are 31% of revenue
- Warehouse automation delivery: supplier milestones two weeks late

FOR DECISION

Decisions requested

- Capex of €6.8m for the North hub cross-dock expansion (paper A)
- 2027 budget timetable and planning assumptions (paper B)
- Treasury policy review and new counterparty limits (paper C)

Items for noting

- Insurance programme renewed on 1 October
- External audit tender: three firms shortlisted
- Health and safety report for Q3 (paper D)

Appendix: definitions

- EBITDA margin: earnings before interest, tax, depreciation and amortisation, divided by revenue
- Free cash flow: cash from operations less capital expenditure and lease payments
- Net debt: borrowings and lease liabilities less cash
- On-time delivery: share of consignments delivered within the agreed slot